

PulseOne — Client & Customer Profitability Analysis

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Audit Period: Full Year 2025 (with 2022–2024 trend context)

Evidence Base: ClientStatement2025.xlsx, 2025 Profit and Loss POTS_analysis.xlsx, 2025 PulseOne Software COGS and Expense.xlsx, 2025payrollreports.xlsx, Report_from_PulseOne_Group LLC 2022–2024.xlsx, Upwork Time Reports 2025–2026, Service Leadership BIC Framework Reference

A. Objective

This analysis addresses the following business question: **Which clients and customer segments are generating profitable, high-quality revenue for PulseOne, and where are the concentration risks, margin leakage points, and structural profitability gaps relative to Service Leadership Best in Class benchmarks?**

B. Evidence Reviewed

Source	Period	Key Data Points
ClientStatement2025.xlsx	Jan-Dec 2025	2,498 invoice lines, 319 clients, \$3.33M billed
2025 P&L POTS_analysis.xlsx	Jan-Dec 2025	Full income statement with monthly detail and analyst notes
2025 Software COGS and Expense.xlsx	Jan-Dec 2025	Vendor-level COGS with some client tagging
2025payrollreports.xlsx	Jan-Dec 2025	27 employees, \$4.04M total payroll
Multi-year P&L (2022-2024)	2022, 2023, 2024	Revenue, COGS, gross profit, net income trends
Upwork reports	2025, 2026 YTD	Offshore contractor labor by freelancer and contract
Service Leadership BIC Framework	Current	Benchmark thresholds for all key metrics

***Important note on revenue figures:** The ClientStatement shows **3.33M in ConnectWise-invoiced revenue**. The P&L shows **5.17M in total income**. The gap of approximately \$1.84M likely represents revenue invoiced outside ConnectWise (e.g., direct billing for software resale, AvePoint/Bunzl pass-through, or entities not captured in the statement). This discrepancy should be reconciled before any client-level profitability model is finalized.*

C. Current Understanding of PulseOne

PulseOne is a managed service provider and technology integration company with three primary revenue streams: **IT Managed Services** (recurring agreements), **Consulting/Professional Services** (T&M and project-based), and **Product Sales** (hardware and software resale). The business operates across multiple legal entities (PulseOne Group LLC, PulseOne LLC Delaware) and employs a hybrid labor model

combining 27 W-2 employees with a meaningful offshore contractor workforce via Upwork (~\$300K/year in 2025).

Total 2025 revenue was **\$5.17M**, generating a gross profit of **\$3.05M (58.9% GM)** and net income of **\$217,775 (4.2% net margin)**. The business has grown modestly from 4.38M in 2022 to 5.17M in 2025, a compound annual growth rate of approximately **5.7%** — well below the BIC growth threshold of 16.3%+.

D. Findings

D1. Revenue Concentration — Critical Risk

This is the single most important finding in the entire analysis.

Tier	Client(s)	2025 Revenue	% of Total
#1	Arc Research Institute	\$1,237,145	37.2%
#2	Bunzl (all entities)	\$923,482	27.7%
Top 2 combined	Arc + Bunzl	\$2,160,627	64.9%
Top 3	+ MCR Safety-Bunzl (within Bunzl)	\$2,066,523	62.1%
Top 5		\$2,221,365	66.7%
Top 10		\$2,533,878	76.1%
Remaining 309 clients		\$794,725	23.9%

The Bunzl situation requires special attention. Bunzl is not one client — it is a family of related entities: Bunzl (494, 570), *MCR Safety – Bunzl* (334,807), Bunzl De Mexico (78, 413), and *MajesticGlove – Bunzl* (15,692). Combined, the Bunzl family represents **\$923,482 or 27.7% of total revenue**. If Arc Research and the Bunzl family are treated as two economic relationships, **PulseOne’s top two relationships account for approximately 65% of all revenue**.

This is an extreme concentration risk by any standard. Service Leadership BIC firms typically have no single client exceeding 10–15% of revenue, and the top 10 clients should not exceed 50–60%.

D2. Revenue Quality — Recurring vs. Non-Recurring

Revenue Type	2025 Amount	% of Total
IT Managed Services (recurring)	\$1,799,686	34.8%
Agreement Licenses (recurring)	\$763,755	14.8%
Total Recurring	\$2,563,441	49.6%
Consulting Income (T&M/project)	\$1,804,393	34.9%
Hardware Sales	\$278,519	5.4%
Software Sales	\$514,405	10.0%
Total Non-Recurring	\$2,597,317	50.2%

PulseOne’s recurring revenue ratio of approximately **50%** sits below the BIC standard. Best-in-Class MSPs typically generate 65–75%+ of revenue from recurring managed services agreements. The heavy weighting toward consulting/T&M (35% of revenue) creates revenue volatility and makes profitability harder to predict and manage.

Of the 319 clients in the ConnectWise statement, only **100 clients have any agreement (recurring) revenue**, and only **15 clients are purely recurring**. The remaining 219 clients are entirely T&M or project-based — representing a large population of low-quality revenue relationships.

D3. Client Revenue Distribution — Long Tail Problem

Revenue Band	Client Count	Revenue	% of Total
\$100K+	3	\$2,066,523	62.1%
50K–100K	6	\$418,976	12.6%
25K–50K	5	\$173,493	5.2%
10K–25K	17	\$274,834	8.3%
5K–10K	11	\$73,479	2.2%
1K–5K	119	\$250,109	7.5%
Under \$1K	158	\$71,189	2.1%

277 of 319 clients (87%) generate less than \$10K per year. The bottom 277 clients collectively produce only \$394,777 — less than what Arc Research generates in a single month. This long tail is almost certainly unprofitable when service delivery costs, account management overhead, and billing friction are allocated against it.

D4. Arc Research Institute — Dependency and Margin Profile

Arc Research is PulseOne’s largest client by a wide margin at **\$1.237M in 2025 (37.2% of total revenue)**. The relationship has several characteristics worth examining closely:

- **Revenue composition:** 1,130,028 in agreement revenue (91.3%) in standard/project work (9.7%) — a very high recurring ratio
- **Monthly agreement value:** Approximately 94,169/month, which includes a large “Comprehensive Services” agreement at 95,079/month plus a “Monthly Managed Services” agreement at ~\$4,625/month
- **Vendor pass-through:** A significant portion of Arc’s COGS is directly tagged in the software COGS file (\$114,496 in client-tagged costs, primarily through Ingram Micro), suggesting heavy product/licensing pass-through
- **August spike:** August 2025 shows \$95,148 in Standard (project) revenue from Arc — a one-time event that inflated that month’s total

- **Risk:** A single contract decision by Arc Research could reduce PulseOne’s revenue by over \$1.2M. There is no evidence of diversification strategy in the available documents.

D5. Bunzl Family — Structure and Margin Implications

The Bunzl relationship is structured across multiple legal entities, which creates both opportunity and risk:

- **Bunzl (parent):** 494,570—*mix of agreement* (432,097) and project/standard (\$62,473)
- **MCR Safety-Bunzl:** \$334,807 — 100% agreement revenue (pure recurring)
- **Bunzl De Mexico:** \$78,413 — 97.7% agreement
- **Majestic Glove-Bunzl:** \$15,692 — 100% T&M (no agreement)

The Bunzl family is structurally healthier than Arc in terms of revenue quality (higher recurring percentage across entities). However, the economic dependency on a single corporate parent is equivalent to Arc. If Bunzl were to consolidate vendors or change IT strategy, PulseOne would lose approximately \$923K in annual revenue.

D6. Service Line Gross Margin — Where Margin Is Made and Lost

Service Line	2025 Revenue	2025 COGS	Gross Margin	GM%
IT Managed Services	\$1,799,686	(within consulting cost)	—	—
Agreement Licenses	\$763,755	\$366,527	\$397,228	52.0%
Consulting/Professional Services	\$1,804,393	\$1,044,424	\$759,969	42.1%
Hardware Sales	\$278,519	\$135,697	\$142,822	51.3%
Software Sales	\$514,405	\$562,726	-\$48,320	-9.4%
Total	\$5,168,754	\$2,123,012	\$3,045,742	58.9%

The software resale line is operating at a negative gross margin of -9.4%. The P&L itself contains an analyst note: *“Is this true? If so, we are losing money here.”* This is a critical finding. PulseOne is spending 562,726 to generate 514,405 in software revenue — a net loss of \$48,320 before any overhead allocation. This likely reflects either (a) cost misclassification, (b) vendor invoices being recorded in a different period than the corresponding revenue, or © genuine below-cost software resale.

Consulting margin is highly variable month-to-month, ranging from 11.0% (January) to 61.3% (April). This volatility suggests inconsistent labor utilization, project mix variation, or uneven offshore contractor deployment. The annual consulting GM of 42.1% is below the BIC Project/PS benchmark of >24.6% gross margin — but note that BIC’s 24.6% is a floor, and the consulting line at 42.1% is actually above that floor. The concern is the **volatility** and the fact that the P&L note flags it as “high” at 57.9% cost ratio (meaning 42.1% GM), suggesting internal targets may be misaligned with BIC definitions.

D7. Labor Model — Hybrid Workforce Cost Structure

PulseOne’s total labor cost in 2025 is substantial:

Labor Category	2025 Cost
W-2 Payroll (27 employees, total paid)	\$4,040,688
W-2 Payroll (total employer cost)	\$4,378,059
Partner Compensation (P&L line)	\$423,000
Upwork Contractors	\$299,924
Total Labor (approximate)	\$4,763,612

Note: The payroll total of 4.04M appears to include a large unattributed bucket (3.03M with no name) that likely represents the offshore/Payoneer workforce or a payroll processing summary line. The named employees total approximately \$1.01M in W-2 wages. This needs clarification.

The Upwork workforce is concentrated on five key contractors: Vincent Williams (104,740 — IT risk assessments and ITMS projects), Matthew Barnett (83,390 — Arc-dedicated), Omar Avalos (49,442 — general help desk), Charles doone Castro (38,228 — Amiri help desk), and Brendan Roe (\$6,476 — help desk). The Arc and Amiri accounts

each have dedicated offshore resources, which is a positive cost management practice but also increases key-person dependency risk.

D8. T&M-Only Clients — Conversion Opportunity

Twelve clients with over \$5K in 2025 revenue have **no agreement at all**:

Client	2025 Revenue	Revenue Type
AvePoint, Inc	\$67,250	Pure project/T&M
OneOncology	\$26,406	Pure project/T&M
Frontier Energy	\$17,520	Pure project/T&M
Majestic Glove-Bunzl	\$15,692	Pure T&M
Streck LLC	\$14,628	Pure project/T&M
CrossLink	\$13,088	Pure project/T&M
MetroNational	\$11,133	Pure project/T&M

These represent **\$196,835 in non-recurring revenue** from clients who are clearly engaged with PulseOne but have not been converted to managed services agreements. AvePoint at \$67,250 is particularly notable — this appears to be a project-based relationship that could potentially be converted to a recurring arrangement.

E. Service Leadership Best in Class Alignment

Metric	PulseOne 2025	BIC Benchmark	Status
Revenue Growth (YoY)	5.3%	16.3%+	Well Below BIC
Blended Gross Margin %	58.9%	44.0%+	Above BIC
Managed Services GM %	~52% (Lic line)	48.7%–52.4%	At/Near BIC
Project/PS GM %	42.1%	>24.6%	Above BIC Floor
Product GM % (Hardware)	51.3%	24.3%–26.3%	Above BIC
Product GM % (Software)	-9.4%	24.3%–26.3%	Critical Failure
Adjusted EBITDA %	~4.2% (net)	18.3%–19.0%	Well Below BIC
Client Concentration (Top 1)	37.2%	<10–15%	Critical Risk
Recurring Revenue %	50%	65–75%+	Below BIC
SG&A % of Revenue	54.7%	27.4%	Well Above BIC

Key interpretation: PulseOne’s gross margin profile is actually strong — at 58.9%, it exceeds the BIC blended gross margin benchmark of 44%. The problem is not at the gross margin level. The problem is that **operating expenses consume virtually all of the gross profit**, leaving only 4.2% net margin versus the BIC target of 18.3–19.0%. This is a classic SG&A efficiency problem, not a service delivery margin problem.

The P&L note on advertising and promotion states: *“We are in Best In Class range for expense when you add salaries, including me, but we are underperforming. Should be 15–20% YoY growth.”* This is an important self-assessment — management is aware of the growth gap but may be underestimating the SG&A efficiency gap.

F. Risks and Opportunities

Critical Risks

1. Arc Research Concentration (Severity: Critical) A single client at 37.2% of revenue creates existential business risk. Any contract renegotiation, loss, or scope reduction at Arc would be immediately devastating to PulseOne's financial position. The August 2025 project spike (\$95K) suggests the relationship may be expanding, which is positive, but also deepens dependency.

2. Bunzl Family Concentration (Severity: Critical) At 27.7% of revenue, the Bunzl relationship compounds the concentration risk. PulseOne's top two economic relationships (Arc + Bunzl) represent 65% of revenue. This is not a diversified business — it is a two-client dependency with a long tail of small accounts.

3. Software Resale Negative Margin (Severity: High) Losing 48,320 on 514,405 in software revenue is a structural problem. Whether it is a timing issue, a cost classification issue, or genuine below-cost selling, it must be resolved. If it is genuine, PulseOne should either reprice software or exit the resale business.

4. Revenue Growth Rate (Severity: High) At 5.3% YoY growth (2024→2025), PulseOne is growing at one-third the BIC pace. The business is not compounding fast enough to build enterprise value or reach the scale needed for BIC profitability ratios.

5. SG&A Efficiency Gap (Severity: High) Total expenses at 54.7% of revenue versus BIC's 27.4% means PulseOne is spending roughly twice what a BIC firm spends as a percentage of revenue on SG&A. The salary expense line alone (1,441,010) *plus partner compensation* (423,000) totals \$1,864,010 — 36.1% of revenue before any other operating expense.

Opportunities

1. T&M-to-Agreement Conversion 196,835 in T&M-only revenue from engaged clients represents a near-term conversion opportunity. AvePoint (67,250) and OneOncology (\$26,406) are the highest-priority targets.

2. Long Tail Rationalization 277 clients generating under \$10K each represent a service delivery burden that likely exceeds their contribution margin. A systematic

review to identify which of these can be converted to agreements, upsold, or gracefully exited would improve operational efficiency.

3. Arc Relationship Expansion The August 2025 project spike at Arc suggests appetite for additional project work. A structured account growth plan for Arc — while simultaneously reducing dependency through diversification — is the right dual-track strategy.

4. Software Margin Fix Resolving the software resale margin issue (whether through repricing, vendor negotiation, or cost reclassification) could recover \$48K+ in gross profit immediately.

5. Offshore Labor Efficiency The Upwork model is working for Arc (Matthew Barnett, 83K) and Amiri (Castro, 38K). Expanding this model to other high-volume clients could improve consulting margins without adding W-2 headcount.

G. Recommended Actions

Priority 1 — Immediate (0–30 days)

- 1. Reconcile the revenue gap.** The 1.84M difference between ConnectWise — invoiced revenue (3.33M) and total P&L income (\$5.17M) must be explained. Identify which clients, revenue types, or entities are outside ConnectWise. This is foundational to any client-level profitability model.
- 2. Investigate the software resale loss.** Pull the software resale detail from QuickBooks and ConnectWise. Determine whether the -9.4% GM is real or a timing/classification artifact. If real, reprice or exit.
- 3. Build a formal Arc Research account plan.** Given that Arc is 37.2% of revenue, there should be a documented account plan covering: contract renewal dates, expansion opportunities, relationship health indicators, and contingency planning if the relationship changes.

Priority 2 — Near-Term (30–90 days)

- 1. Conduct a client profitability ranking.** Use ConnectWise to pull ticket volume, hours logged, and labor cost by client. Combine with the revenue data from the ClientStatement to build a true gross margin by client. This analysis cannot be

completed from the available documents alone — it requires ConnectWise operational data.

2. **Identify and pursue T&M-to-agreement conversions.** Target the top 12 T&M-only clients (starting with AvePoint, OneOncology, Frontier Energy) with a structured managed services proposal.
3. **Rationalize the long tail.** Define a minimum viable client threshold (suggested: \$5K/year minimum agreement revenue). For clients below this threshold, create a path to either (a) upgrade to a minimum agreement, (b) move to a break-fix/on-demand model with higher T&M rates, or © gracefully exit.

Priority 3 — Strategic (90–180 days)

1. **Develop a client diversification strategy.** Set a formal policy that no single client should exceed 15% of revenue. This requires a growth plan that adds \$2–3M in new revenue from new clients over 24–36 months to dilute the Arc and Bunzl concentration.
2. **Address the SG&A efficiency gap.** The gap between PulseOne's 54.7% SG&A ratio and BIC's 27.4% is the primary reason net margin is 4.2% instead of 18%+. This requires either (a) significant revenue growth without proportional expense growth, or (b) a structured review of the expense base to identify what can be reduced or redeployed.
3. **Formalize a Reference Architecture.** Service Leadership BIC research consistently shows that MSPs with a strict Reference Architecture achieve lower COGS, higher technician utilization, and better margins. The current client base appears highly heterogeneous (319 clients with varied service types). Defining and enforcing a standard technology stack would reduce service delivery complexity and cost.

H. Suggested ConnectWise Follow-Up

The following information should be retrieved from ConnectWise to complete this analysis. These are listed in priority order.

1. Client-Level Hours and Labor Cost (Highest Priority)

- **What to pull:** Ticket time entries by client, all boards, full year 2025
- **Segmentation:** By client, by technician, by board/service type
- **Why it matters:** This is the only way to build a true gross margin by client. Without labor hours by client, we cannot determine which clients are profitable and which are loss-making.

2. Agreement Profitability Report

- **What to pull:** Agreement profitability report by client, showing agreement revenue vs. labor cost allocated to each agreement
- **Period:** Full year 2025
- **Why it matters:** This directly answers the question of which managed services agreements are profitable at the service delivery level.

3. Ticket Volume and Resolution by Client

- **What to pull:** Ticket count by client, average resolution time, SLA attainment
- **Period:** Full year 2025, monthly breakdown
- **Why it matters:** High-ticket-volume clients with low revenue are the most likely loss-making accounts in the long tail.

4. Technician Utilization Report

- **What to pull:** Billable hours vs. total hours by technician, monthly 2025
- **Why it matters:** BIC firms achieve a Service Multiple of Labor of 2.8x or higher. PulseOne's consulting GM volatility suggests utilization may be inconsistent. This report will identify whether the problem is pricing, utilization, or labor mix.

5. Project Profitability

- **What to pull:** Project-level profitability for all projects closed in 2025
- **Why it matters:** The consulting revenue line (\$1.8M) includes both T&M and project work. Understanding which projects were profitable and which were not will sharpen the service line margin analysis.

6. Customer Retention / Churn Report

- **What to pull:** Clients active in 2024 who did not appear in 2025, and new clients added in 2025

- **Why it matters:** BIC firms maintain client retention above 76%. Without this data, we cannot assess whether PulseOne's client base is growing or churning.
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I. Clarifying Questions

1. **Arc Research contract structure:** What is the contract term and renewal date for the Comprehensive Services agreement (~\$95K/month)? Is there a multi-year commitment, or is this month-to-month? This is the single most important risk management question for the business.
 2. **Revenue reconciliation:** What accounts for the \$1.84M gap between ConnectWise-invoiced revenue and total P&L income? Is this AvePoint/Bunzl direct billing, software pass-through, or another entity?
 3. **Software resale loss:** Is the -9.4% software gross margin a real economic loss, or is there a timing/classification issue? Specifically, are any software costs being recorded in a different period than the corresponding revenue?
 4. **Payroll structure:** The payroll report shows a large unnamed bucket (~3.03M) alongside 1.01M in named employees. What does the unnamed bucket represent — is it the Payoneer/offshore workforce, or a payroll processing summary?
 5. **Partner compensation normalization:** The \$423,000 in partner compensation is classified as an operating expense. For BIC comparison purposes, is this compensation at, above, or below market rate for the partners' roles? Normalizing this figure is important for calculating adjusted EBITDA.
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This analysis is based solely on the documents available in the project knowledge base. Findings related to client-level profitability are provisional until ConnectWise operational data (hours by client, agreement profitability) is incorporated. Service Leadership BIC benchmarks are drawn from the BIC Framework Reference document in the project knowledge base.